



FINANCING GUIDE / 01

Equipment Financing

A practical guide to financing the equipment your business needs to operate, expand, and generate revenue.

Equipment financing is designed to help a business acquire equipment without paying the full purchase price in cash at closing. Depending on the program, the structure may be a loan, lease, lease-to-own arrangement, or another business-purpose financing structure.

The equipment itself is often a central part of the underwriting decision. Lenders may evaluate its age, type, cost, resale market, useful life, and how directly it contributes to business revenue.

Common equipment categories

- Construction and yellow iron
- Vocational trucks and local transportation
- Manufacturing and CNC equipment
- Materials handling and forklifts
- Auto repair and service equipment
- Landscaping and agricultural equipment
- Medical, office, and gym equipment
- Restaurant and food-service equipment
- Trailers and specialty business equipment

HOW LENDERS LOOK AT IT

What typically drives the financing decision

Business cash flow

Lenders may review recent business bank statements, average deposits, ending balances, existing obligations, and whether cash flow appears sufficient to support the proposed payment.

Borrower profile

Time in business, personal and business credit history, comparable borrowing experience, bankruptcies, liens, delinquencies, and guarantor strength can affect available structures.

Equipment / collateral

Equipment age, type, condition, title status, secondary-market value, invoice amount, and ease of resale can influence leverage and terms.

Transaction strength

A down payment, additional guarantor, additional collateral, strong industry experience, or clear evidence that the equipment will increase revenue can strengthen a request.

There is no single universal minimum credit score or universal advance rate across the FLS lender network. Some programs are credit-driven; others place heavier emphasis on business revenue and equipment quality.

PREPARING YOUR REQUEST

What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

Business information

Legal business name, entity type, ownership, industry, time in business, and a short explanation of how the business generates revenue.

Equipment details

Vendor quote or invoice, equipment description, year, make, model, serial/VIN when applicable, purchase price, and whether the seller is a dealer or private party.

Financial information

Recent consecutive business bank statements are common. Larger or more complex requests may require additional financial information.

Owner / guarantor information

Completed application and owner information. Personal guarantees and credit review requirements vary by program.

Transaction context

Explain why the equipment is needed, how it will be used, whether it replaces existing equipment, and how it is expected to support revenue or operations.

PROCESS

From request to funding

1 Define the purchase

Identify the equipment, vendor, total cost, and how the asset will be used.

2 Review the business profile

FLS reviews the request, business history, credit profile, cash flow, equipment, and other relevant factors.

3 Match the request

The transaction is routed toward financing programs that appear aligned with the borrower and equipment.

4 Lender underwriting

The funding source reviews the complete file and may request clarification, additional documents, inspection, insurance, or other conditions.

5 Documents & funding

After final approval and required documents/conditions are satisfied, funds are released according to the approved transaction structure.

WHAT CAN STRENGTHEN THE REQUEST?

Strong and consistent business deposits, adequate ending balances, relevant borrowing history, additional cash contribution, strong guarantor support, additional collateral, and a clear business case for the equipment can all help — depending on the lender and program.

Find the right equipment financing path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

flscapitaladvisors.com/start Talk with a specialist: flscapitaladvisors.com/contact

General information only. This guide is intended for educational purposes and does not constitute an approval, commitment to lend, or guarantee of financing. Programs, eligibility, rates, fees, terms, collateral requirements, and documentation requirements vary by funding source and may change. Final eligibility and terms are determined by the applicable funding source after review of a complete application.